

Mitra Innovation Pvt Limited (Sri Lanka)

Performance Annual Review (PAR) Policy

1. Objective

The objective of the Performance Annual Review (PAR) Policy is to establish a structured, transparent, and equitable framework for evaluating employee performance. The key purposes of the PAR are to:

- Provide constructive feedback and support professional development
- Identify training and development needs
- Support decisions on promotions, compensation, and transfers
- Enhance communication between employees and reporting managers/practices
- Align individual performance with Mitra Innovation's strategic goals

2. Eligibility Criteria

- Employees must have completed **one full year of continuous service** with Mitra Innovation to be eligible for participation in the annual PAR cycle.
- Only **permanent employees and fixed-term contract employees (one year or more)** are eligible to participate in the PAR process.

3. PAR Cycle Timelines

The PAR cycle is determined based on **an employee's date of joining**. Employees become eligible for appraisal in the **following year**, based on the first available cycle after completing 12 months of continuous service.

PAR Cycles:

- **April**
- **October**

4. Evaluation Period

Employees will be assessed based on the preceding **12-month period**, with focus on:

- Achievement of defined Objectives / KPIs
- Demonstration of core competencies and alignment with Mitra's organizational values

5. Performance Review Process

5.1 Self-Evaluation

- Eligible employees must complete a **self-evaluation** through the HR system within the timelines communicated by HR.
- Timely completion is **mandatory**. Failure to submit the self-evaluation will result in **revocation of eligibility** for that PAR cycle.

5.2 Manager Evaluation

- Reporting Managers will review self-evaluations and provide structured feedback using 360-degree evaluation forms via the HR system.
- Managers must submit feedback within the defined timeline. Failure to do so will result in **revocation of their eligibility** to participate in that cycle.

6. Review and Normalization Process

6.1 Practice-Level Normalization

HR will consolidate manager feedback and facilitate **practice-level discussions** with Practice Heads to ensure internal consistency.

6.2 Segment-Level Normalization

HR will further facilitate **segment-level normalization** with Segment Heads, incorporating inputs from practice-level discussions.

6.3 Company-Level Normalization

A final **company-wide normalization** will be conducted to ensure equity across all practices.
Final normalized ratings will be submitted to the **Chief Operating Officer (COO)** for approval.

6.4 Rating Scale

Performance will be assessed on the following 5-point scale:

- Not Meeting Expectations (1.0)
- Meets Some Expectations (2.0)
- Fully Meets Expectations (3.0)
- Exceptional (4.0)
- Outstanding (5.0)

7. Employee Feedback Delivery

- Upon approval by the COO, HR will release normalized ratings to relevant practices.
- Managers must deliver final feedback to employees:
 - Professionally and within the timelines set by HR
 - Using the HR system and through scheduled virtual sessions
 - Including performance highlights, improvement areas, and development suggestions
- All feedback must be **documented in the HR system** for future reference and ongoing development

8. Performance Improvement Plan (PIP)

Employees receiving a rating **below 3.0** may be placed on a **Performance Improvement Plan (PIP)**.

- The standard PIP duration is **three months**, extendable based on performance.
- Reporting Managers must define clear objectives based on PAR feedback.
- **Monthly feedback (written and verbal)** is mandatory and must be shared with HR.
- Support through on-the-job-training and coaching will be provided.

PIP Review & Closure

- After three months, the Reporting Manager and Practice Head must present the outcome to the COO.
- If performance is satisfactory, the final rating is confirmed.
- No second PIP will be granted for the same tier/ designation.

- If performance does not improve, further action will follow company policy.

9. Roles and Responsibilities

Role	Responsibility
Employees	Complete self-evaluation and actively participate in the process
Reporting Managers	Provide fair, timely, and constructive performance feedback
HR Team	Drive process timelines, integrity, and facilitate normalization
Practice Heads, Segment Heads, COO	Participate in normalization and finalize performance outcomes

10. Promotions

10.1 Promotion Cycles

Promotions are considered during the **April and October PAR cycles**, in alignment with Mitra's Career Development Framework.

10.2 Promotion Types

- **Fast-Track Promotion**
- **Regular-Track Promotion**

10.3 Promotion Eligibility

- **Performance:** Consistent "Fully Meeting Expectations - Top" or higher ratings over two consecutive years
- **Tenure:** Meets expected time-in-role criteria

- **Competency:** Demonstrates required competencies for the next level

10.4 Promotion Governance

- Supervisors nominate eligible employees.
- Practice Leadership/Normalization Committee validates eligibility and makes final decisions based on:
 - Organizational growth plans
 - Strategic alignment
 - Resource forecasting

***Note:** Eligibility does not guarantee promotion.*

11. Increments and Incentives

Performance-based increments and incentives are subject to **management discretion**.

Factors Influencing Rewards

- Overall Group Company performance
- Specific business segment performance
- Client account performance
- Employee performance rating
- Promotion status and role level

***Note:** The company reserves the right to revise increment percentages or incentive structures at any time.*

12. Documentation

All appraisal data will be **recorded and stored** in the HRIS system. Employees will have access to their final appraisal reports.

13. Confidentiality

All performance appraisal information is considered **confidential** and will only be accessible to authorized personnel on a **need-to-know basis**.

14. Policy Review

This policy will be **reviewed annually** by the HR team to ensure alignment with business goals, employee expectations, and industry best practices.

No	Version No	Date	Prepared By	Reviewed By	Approved By	Comments
1	V1.00	28-May-2025	Irosha Perera	Diyamanthi Gunaratne - Global Head of Finance	Sanjeev Palihawadana - Chief Operation Officer Dammika Ganegama - Co-Founder & MD	Initial Release